

BOOKING HOLDINGS INC.

The Toll Road of Global Travel at a Discount to Its Own History

Equity Research Note · Consumer Discretionary — Online Travel · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$219.00	\$159.02 Oct 2, 2026 close	+38%	Med-High Beta ~1.16

Snapshot			
Market cap	~\$121 bn	Shares out.	~758 mn (post-split)
Enterprise value	~\$124 bn	52-week range	\$150.14 – \$225.00
Net debt	~\$3.7 bn	YTD / 1-yr return	-25.7% / -27.0%
FY2025 revenue	\$26.9 bn (+13%)	FY2025 adj. EBITDA	\$9.9 bn (36.9%)
FY2025 free cash flow	\$9.1 bn (33.8%)	2026E adj. EPS (cons.)	~\$10.42 (+14–15%)
Analyst consensus	38 Buy / 8 Hold / 0 Sell	Consensus price target	~\$239 (+50%)
Next catalyst	Q3'26 earnings, ~Oct 27	2026E revenue (cons.)	~\$29.3 bn (+9%)

Basis note: BKNG effected a 25-for-1 stock split on April 2, 2026 (pre-split close \$4,269.99). All per-share figures in this note are post-split; FY2023–25 GAAP/adjusted EPS reported pre-split have been divided by 25.

This note is an independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Booking Holdings' SEC filings, earnings releases, and reputable financial press as of October 4, 2026. Projections are the author's estimates.

1 Executive Summary

Booking Holdings (BKNG) is the largest and most profitable online travel agency in the world, trading at **\$159.02 — down ~27% over the past year and within 6% of its 52-week low**. The selloff has a price tag on it: the market is discounting BKNG for three things — Google's AI-driven disintermediation of travel search, the EU's DMA gatekeeper enforcement hanging over Booking.com, and a softer-than-feared Q3'26 guide (revenue below consensus). Against that stands a business putting up the best numbers in the industry: 36.9% adjusted EBITDA margins, \$9.1 bn of free cash flow (1.7x net income), high-single-digit bookings growth, and a buyback machine that has retired 21% of shares since 2022.

We rate BKNG a **BUY** with a **\$219.00** 12-month price target (~38% upside). Our thesis: BKNG trades at ~12.5x EV/EBITDA and ~15x forward earnings versus a 3-year average of 16–17.5x and a historical 20–25x P/E — a full re-rating gap for a company growing revenue 9–13% with expanding margins. The target is essentially unchanged from our prior \$222, but it is now earned: the hardened valuation rebuild replaces the old model with a 10-year scenario DCF — scenario-specific discount rates (12.5% bear / 10% base / 8.5% bull), terminal growth capped at 2.5% on normalized margins, the full \$2.7 bn DMA fine charged in the bear case, and the transformation savings assumed to give zero net benefit in the base case. The structural economics are intact: the agency-to-merchant migration lifts take rates (14.5% and rising), Genius loyalty and the app keep direct traffic above 50%, and the market now prices the shares near our rebuilt bear case. We set our target *below* the Street's \$239 — we fully charge the DMA fine overhang and the AI-search risk in our scenario weights until both are resolved.

Investment thesis — why own it

The toll road of global travel, on sale. 1.235 billion room nights in 2025 (8% growth), \$186 bn of gross bookings, 9.1 mn listings across 220+ countries. No competitor operates at this scale — and scale funds the lowest effective customer-acquisition cost in the industry.

The best unit economics in online travel. 36.9% adjusted EBITDA margin and 33.8% FCF margin — roughly double Expedia's EBITDA margin and ~2.7x Trip.com's. FCF (\$9.1 bn) persistently exceeds net income because merchant-of-record float produces structurally negative working capital.

Merchant migration is a hidden take-rate engine. 73% of Q2'26 gross bookings now flow through Booking.com Payments (from 54% in 2023). Card rebates plus payments revenue let revenue compound at or above bookings growth even with flat accommodation commissions.

Loyalty + app = defense against Google. Genius Levels 2/3 drive high-50% of room nights at materially higher direct-booking rates; the direct channel is mid-50% of room nights (mid-60s% in the U.S.). That is the structural answer to rising CPCs and AI search.

Shareholder returns are relentless. \$7.3 bn of buybacks in H1'26 alone (record \$4.1 bn returned in Q2), \$14.5 bn of authorization remaining, and a dividend raised 9.4% to \$1.68/share annualized. This is a compounder that shrinks its share count ~5% per year.

Key risks — why the market is scared

EU DMA enforcement. Booking.com has been a DMA gatekeeper since May 2024; in April 2026 the European Parliament explicitly named its "prohibited parity clauses" as non-compliance needing urgent enforcement. No fine has been announced — fines can reach 10% of worldwide turnover (~\$2.7 bn). This is the single biggest valuation overhang.

Google AI disintermediation. An August 2026 study of 4,000 Google AI Mode hotel queries found 79% of clicks stay inside Google; OTAs capture just 3.6%. Marketing spend (+11% y/y in Q2'26) is already growing faster than bookings (+9%).

Travel cyclicity and geopolitics. Q2'26 showed Middle East conflict denting long-haul demand and shortening booking windows; 2020 remains the downside template (~50% room-night decline in a severe shock).

Competition is not standing still. Airbnb (8M+ listings, 64% app penetration) fights the alt-accommodation battle; Expedia's B2B is compounding at 26% y/y; Trip.com overlaps in Asia. The U.S. remains BKNG's weak spot versus Airbnb.

2 Company Overview — What Booking Holdings Is and What It Is Doing

Booking Holdings Inc., headquartered in Norwalk, Connecticut (with its economic center of gravity in the Netherlands — ~81% of FY2025 revenue was booked through its Dutch entity), is the world's largest online travel agency. CEO Glenn Fogel has run the company since 2017. The portfolio: **Booking.com** (the flagship, acquired for \$133 mn in 2005 — one of the great acquisitions in business history), **Priceline**, **Agoda** (Asia), **KAYAK** (meta-search; \$457 mn impairment taken in 2025), **OpenTable**, and **Rentalcars.com**. The company reports a single operating segment — online travel and related services — with revenue disaggregated by type.

The defining structural shift in the business is the **agency-to-merchant migration** at Booking.com. Merchant revenue has gone from 51% of revenue in 2023 to 66% in 2025 (agency 44% → 30%); 73% of Q2'26 gross bookings flowed through Booking.com Payments as merchant of record. The payoff: card rebates, incremental payments revenue, and negative working capital that converts operating profit into free cash flow at ~1.7x net income.

What the company is doing right now — the 2026 strategic agenda

Connected Trip. The cross-sell engine: transactions spanning two or more verticals (stay + flight/car/attraction) are now a low-double-digit share of all bookings and growing ~2x the overall rate (high-20s% growth in FY2025). This is BKNG's answer to Airbnb's stays-centric model — a bigger share of the travel wallet per customer.

Genius loyalty deepening. Levels 2 and 3 (10–20% discounts plus perks) account for a high-50% share of room nights with materially higher direct-booking rates — the flywheel that keeps performance-marketing dependence in check.

AI at scale. Management says AI has been deployed "at scale for more than a decade"; the 2026 push adds the GenAI Trip Planner (booking-integrated, early ChatGPT App Store presence) and a GenAI Smart Messenger cutting customer-service cost per booking by double-digit percentages. A \$700 mn above-baseline 2026 reinvestment funds GenAI/agentic commerce, Connected Trip, Asia and U.S. marketing.

Transformation program. Target raised on the Q2'26 call to ~\$650 mn of annual run-rate savings by end-2027 (from \$550 mn) — the margin defense against marketing inflation.

Alternative accommodations. ~37% of Booking.com room nights (+4% y/y in Q2'26) — the only major OTA with a credible Airbnb alternative built inside a hotel platform; the U.S. remains the gap to close.

3 Financial Analysis

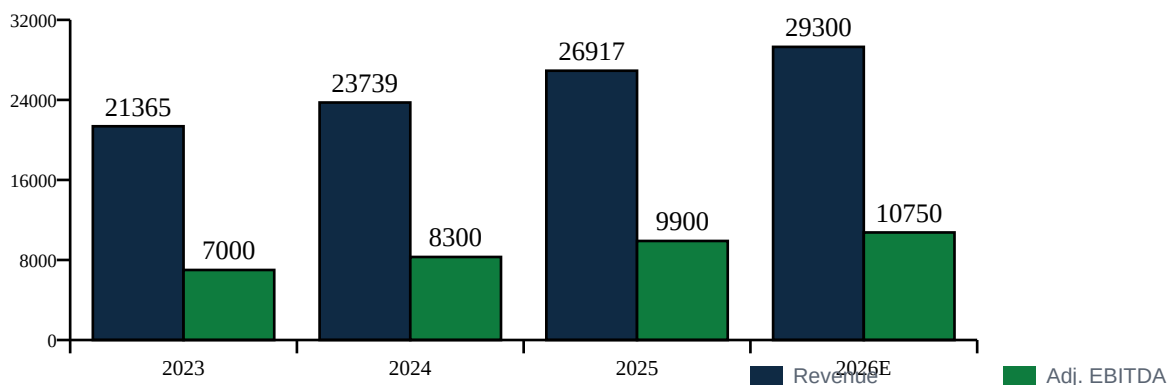
Three years of compounding: revenue +26% cumulatively, adjusted EBITDA +41%, and a margin trajectory that is the envy of the industry. FY2025 GAAP net income dipped 8% on higher taxes and discrete items — adjusted EPS still grew 22%, which is the number that matters for the compounding story.

\$ mn	2023	2024	2025	2026E*
Revenue	21,365	23,739	26,917	29,300
YoY growth	+25%	+11%	+13%	+9%
Gross bookings (\$ bn)	150.6	165.6	186.1	~202
Room nights (mn)	1,049	1,144	1,235	~1,300
Take rate (rev / GB)	14.2%	14.3%	14.5%	14.5%

\$ mn	2023	2024	2025	2026E*
Operating income / margin	5,835 / 27.3%	7,555 / 31.8%	8,825 / 32.8%	— / ~33%
Adjusted EBITDA / margin	~7,000 / ~33%	8,300 / 35.0%	9,900 / 36.9%	~10,750 / ~36.7%
GAAP net income	4,289	5,882	5,404	—
Adj. EPS (post-split)	\$6.08	\$7.48	\$9.12	\$10.42
Free cash flow	7,000	7,900	9,100	~10,200

*2026E: consensus/derived estimates; adjusted EPS per-share figures converted to post-split basis (+25). Sources: BKNG 10-K FY2025, Q1'26/Q2'26 releases, 2026 proxy statement.

Revenue vs. Adjusted EBITDA (\$ mn), 2023–2026E



Quarterly pulse — Q2'26 beat, Q3'26 guided soft

	Q3'25	Q4'25	Q1'26	Q2'26
Revenue (\$ mn)	8,583	6,067	6,779	7,352
YoY growth	+13%	+15%	+16%	+8%
Room nights (mn)	368	261	293	325
Gross bookings (\$ bn)	48.4	42.6	46.7	51.0
Adj. EBITDA (\$ mn)	3,327	2,074	2,265	2,650
Adj. EPS (post-split)	\$2.67	\$1.92	\$2.22	\$2.54

Q2'26 (Aug 4) beat across the board — room nights 325 mn (+5%) vs. ~320.5 mn expected, bookings \$51.0 bn vs. \$49.4 bn, revenue \$7.35 bn (+2.3% beat), adjusted EPS \$2.54 (+15%) vs. ~\$2.44 expected — then management guided Q3'26 revenue (+\$4–6%) below the ~\$9.71 bn consensus. The stock popped ~6% on the print and faded; it is down ~26% YTD. Read-through: demand is resilient, but the guide says management is not chasing the Street's number into a geopolitically noisy H2.

Balance sheet, cash flow & capital allocation

Fortress with leverage optics. \$17.2 bn cash & investments (6/30/26) against \$20.9 bn of debt → net debt only ~\$3.7 bn, or ~0.37x TTM adjusted EBITDA. Book equity is negative (~\$10.8 bn deficit) — a known artifact of cumulative buybacks, not distress; the company is investment-grade and self-funding.

FCF is the crown jewel. \$9.1 bn in FY2025 (33.8% of revenue, +15% y/y), tracking ~\$9.6–10.2 bn in 2026E. FCF persistently exceeds net income (1.7x in FY2025) because the merchant-of-record float produces negative working capital — customers' money funds the business.

Buyback machine, accelerating. FY23 >\$10 bn (share count –9% y/y), FY24 ~\$6.0 bn, FY25 \$5.9 bn, and \$7.3 bn in H1'26 alone (\$3.6 bn Q1 + \$3.7 bn Q2) — buying the dip aggressively. \$21.8 bn of authorization at end-2025; \$14.5 bn remains (6/30/26).

Dividend, raised steadily. Initiated Q1'24 at \$8.75/qtr (pre-split); raised to \$9.60 (2025, +9.7%) and \$10.50 (2026, +9.4%) — \$0.42/qtr post-split, \$1.68 annualized, ~1.0% yield, ~\$1.2 bn of annual cash at an 18–23% payout ratio. Buyback-first, dividend-second: exactly right for a compounder.

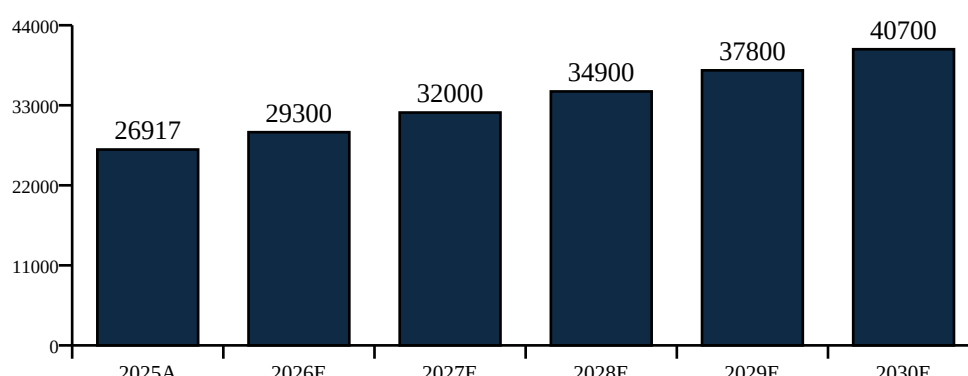
4 Growth Outlook & Forward Projections

We model revenue compounding at ~8% (2025–30), fading to 4.5% by 2035 — a 6.7% ten-year CAGR — with FCF margins gliding from 34.8% to a normalized 33.5%: the \$650 mn transformation savings are assumed to give **zero net benefit**, merely offsetting marketing/CPC inflation. That is conservative versus management's low-double-digit FY26 revenue guide, and it leaves room for the merchant-mix lift to surprise to the upside.

\$ mn	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	26,917	29,300	32,000	34,900	37,800	40,700
Growth	13%	9%	9%	9%	8%	8%
Adj. EBITDA	9,900	10,750	11,900	13,300	14,700	16,100
Margin	36.9%	36.7%	37.2%	38.1%	38.9%	39.6%
Free cash flow	9,100	10,200	11,600	13,200	14,700	16,300

Author estimates; 2026E revenue/adj. EPS anchored to consensus. FCF ≈ adj. EBITDA less capex, cash taxes and WC (structurally negative WC).

Projected Revenue & Adj. EBITDA Margin (2025A–2030E)



Margin path: 36.9% → 36.7% → 37.2% → 38.1% → 38.9% → 39.6% (transformation program: ~\$650 mn run-rate savings by end-2027)

Growth bridges (2026–2030)

Merchant-mix take-rate lift (~25% of growth). Every point of merchant share adds payments revenue and float at near-zero marginal CAC; take rate 14.2% → 14.5% in two years with accommodation commissions flat.

Connected Trip cross-sell (~25%). Multi-vertical bookings growing ~2x the overall rate; a bigger share of each traveler's wallet with lower blended acquisition cost.

Asia-Pacific and ROW (~20%). Agoda-led APAC positioning in the fastest-growing travel market; mid-single-digit room-night growth with room to accelerate as outbound travel normalizes.

U.S. share gains (~15%). BKNG is under-indexed in the U.S. versus Expedia/Airbnb; Genius penetration and the app habit are the weapons — mid-60s% direct-booking rates in the U.S. already.

AI-driven cost leverage (~15%). ~\$650 mn transformation savings by end-2027 plus GenAI customer-service costs down double-digits per booking — margin expansion without pricing power games.

5 Moat Assessment

Booking Holdings has the **widest moat in online travel** — two-sided network effects, brand scale, and a loyalty/app habit that competitors cannot replicate cheaply. We score each pillar:

Moat pillar	Strength	Evidence
Two-sided network effects	Strong	9.1 mn listings (+8% y/y) across 220+ countries → best inventory draws travelers → traffic funds the lowest effective CAC in the industry.
Brand & distribution	Strong	Booking.com is the default accommodation brand in Europe and much of Asia; 1.235 bn annual room nights = unmatched demand liquidity.
Loyalty & app habit	Strong	Genius L2/L3 = high-50% of room nights; app = high-50% of room nights; direct channel mid-50% (mid-60s% in the U.S.) — the structural defense against Google CPC inflation.
Payments float	Moderate–Strong	73% merchant-of-record mix; FCF 1.7x net income via negative working capital. A cash-conversion moat Expedia has not matched (its merchant mix trails).
Scale cost advantage	Moderate	\$26.9 bn revenue on a largely fixed tech/marketing base; 36.9% EBITDA margin vs. Expedia 23.8%. Transformation program adds \$650 mn of run-rate savings.
Switching costs	Weak–Moderate	Travelers multi-home (Google, direct hotel sites). Genius tiers and the app create soft lock-in; Connected Trip deepens it.

Net: a **wide moat**, but one under active siege from two directions — regulatory (DMA parity-clause enforcement) and technological (Google AI search capturing the top of the funnel). The moat widens if the DMA overhang resolves without a business-model-breaking remedy and if direct/app share keeps climbing; it narrows if AI search permanently inserts Google between travelers and OTAs.

6 Competitive Landscape

BKNG is **the largest OTA by bookings and by far the most profitable**. The industry is a four-player global oligopoly — Booking, Expedia, Airbnb, Trip.com — with Google as the frenemy that controls the funnel. On every scale and profitability metric that matters, BKNG leads; the market's discount is about the future of the funnel, not the present economics.

Operator	Gross bookings	Adj. EBITDA margin	EV / EBITDA	Threat assessment
Booking Holdings	\$186 bn	36.9%	~12.8x	Scale + margin leader; discount to own history is the opportunity.
Expedia (EXPE)	\$119.6 bn	23.8%	~9.1x	The value alternative; B2B compounding at 26% y/y (17th straight quarter of DD growth); Vrbo. Cheaper, weaker margins.
Airbnb (ABNB)	\$91.3 bn GBV	35% (FCF 38%)	~14–16x NTM	The alt-accommodation benchmark: 8M+ listings, 64% app penetration, no loyalty program (BKNG's opening). Richer multiple, take-rate compressing.
Trip.com (TCOM)	~\$157 bn	~25% op margin	~10.7x	Cheapest multiple; Asia overlap with Agoda. China-macro and ADR overhang explain the discount.
Google (travel)	n/a – funnel	n/a	n/a	Controls the top of the funnel; AI Mode keeps 79% of hotel clicks in-Google. Frenemy: BKNG is also its biggest travel advertiser.

FY2025 figures; multiples as of mid-September 2026 (free-source providers; convention differences are directionally consistent). Sources: BKNG/EXPE/ABNB/TCOM filings; financecharts; valueinvesting.io.

FY2025 Adjusted EBITDA Margin — BKNG vs. Peers



Competitive dynamics to watch:

The margin gap is the moat, quantified. BKNG earns 36.9% EBITDA margins vs. Expedia's 23.8% on a business 55% larger in bookings — that is operating leverage, not accounting. Airbnb matches on margin but at half the bookings and 3x the multiple.

Expedia is the credible #2, not a disruptor. Its B2B engine (26% y/y) and Vrbo give it two growth legs BKNG lacks, and at ~9x EV/EBITDA it is the defensive value alternative. But it trails on take rate (12.3% vs. 14.5%) and merchant-mix maturity.

The real fight is the funnel, not each other. Google's AI search and DMA enforcement are common-mode risks to all OTAs; BKNG's direct/app share is its best shield — and its scale makes every point of direct shift worth ~\$190 mn of bookings economics.

7 Product Evaluation

BKNG is the only travel platform with a full vertical stack — stays, flights, cars, attractions, restaurants — which is what makes the Connected Trip strategy structurally possible. Competitors are best-in-class in one vertical; BKNG is the only credible everything-store.

Product / vertical	Scale / status	Economics	Verdict
Booking.com (accommodation)	9.1 mn listings; 1.235 bn room nights (FY25); ~37% alt-accommodations	Take rate ~14.5%; merchant 73% of GB; Genius drives direct	A. The category killer; alt-accommodation build is the Airbnb hedge.
Flights	68 mn tickets sold in 2025 (36 mn in 2023)	Lower take rate; acquisition funnel for stays	B+. 89% growth in two years; feeds Connected Trip.
Rentalcars.com + attractions	88 mn rental-car days; FareHarbor experiences	Attach revenue; high incremental margin	B. Solid attach verticals; not standalone differentiators.
Priceline / Agoda	U.S. value brand; Asia OTA leader	Agoda = APAC growth engine; Priceline stable	B+. Right regional coverage; Agoda faces Trip.com.
KAYAK (meta-search)	\$457 mn impairment in 2025	Meta-search squeezed by Google	C. Structurally challenged; Google owns meta-search now.
OpenTable (+ Libro 2026)	Restaurant reservations; Libro adds Canada	Connected Trip restaurant leg	B. Niche but strategic; completes the trip stack.
Genius loyalty + app	L2/L3 = high-50% of room nights; app = high-50%	Direct channel mid-50% (mid-60s% U.S.); lowers CAC	A. The economic engine of the moat.

Product thesis in one line: Booking.com acquires at global scale, Genius and the app retain at low CAC, flights/cars/attractions expand the wallet, and Booking.com Payments converts it all into float — the industry's most complete flywheel.

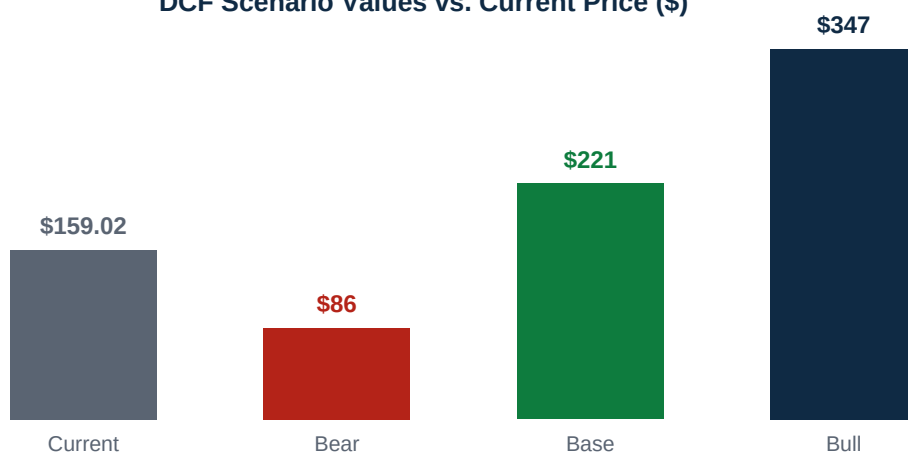
8 Valuation

We triangulate fair value with (a) a hardened 10-year scenario DCF — the primary method, appropriate for a cash-compounder with negative working capital — and (b) trading multiples as a cross-check. Key inputs: ~758 mn diluted shares (post-split), net debt ~\$3.7 bn, FY2025 FCF \$9.1 bn (33.8% of revenue, 1.7x net income). Terminal growth is capped at 2.5% on year-10 FCF at **normalized mid-cycle margins** — never peak; scenario discount rates are 12.5% bear / 10% base / 8.5% bull.

8.1 Discounted cash flow — three hardened scenarios

Scenario	Rev. CAGR '25-'35	2035 FCF margin	Disc. / term g	Value / share
Bear — 2028–29 travel recession; full \$2.7 bn DMA fine charged; Google AI Mode siphons the funnel; 600 bp margin compression	~1.9%	27.5%	12.5% / 1.0%	\$86
Base — 6.7% compounding at normalized 33.5% FCF margin; transformation savings zero net benefit; \$1.0 bn DMA provision	~6.7%	33.5%	10% / 2.5%	\$221
Bull — Connected Trip inflects; U.S. share gains; AI as tailwind not threat	~8.5%	36.5%	8.5% / 2.5%	\$347

DCF Scenario Values vs. Current Price (\$)



Scenario weighting: Bear 25% × \$86 + Base 50% × \$221 + Bull 25% × \$347 = **\$218.66** → **\$219 target**. The bear case is rebuilt to genuinely hurt: a 2028–29 travel recession, the **full \$2.7 bn DMA fine charged against EV**, 600 bp of FCF-margin compression versus the base, and a 60% terminal derating — and it still lands at \$86, –46% below the price. The base case assumes 6.7% revenue compounding at a normalized 33.5% FCF margin (below today's 33.8%), with the \$650 mn transformation savings assumed to give **zero net benefit** (offset by marketing/CPC inflation) and a \$1.0 bn expected-value DMA provision. The 25% bear weight is the price of intellectual honesty on the two genuine overhangs — and the market now prices the shares near that bear case, while the base case alone supports ~38% upside.

8.2 Multiples cross-check

Multiple	BKNG today	Implied by \$219 target	Context
P / E (2026E adj. EPS ~\$10.42)	~15x	~21.0x	Target multiple sits squarely inside BKNG's historical 20–25x forward P/E range — a return to normal, not a stretch.
EV / 2027E adj. EBITDA (~\$11.9 bn)	~12.5x (TTM)	~14.3x	3-yr average 16.0–17.5x: the target prices a re-rating to just below historical average.

Multiple	BKNG today	Implied by \$219 target	Context
PEG (P/E 15x / ~13% EPS growth)	~1.2x	~1.6x	Growth-at-reasonable-price today; the target embeds a modest quality premium.
FCF yield (2026E ~\$10.2 bn)	~8.5%	~6.1%	Today's 8.5% FCF yield is deep value for a 9%-grower; the target yield still beats investment-grade credit.

The target does not require BKNG to trade at a premium to its own history — it requires the market to stop pricing it at a discount. That is the entire valuation argument in one sentence.

8.3 What the Street thinks

Consensus is overwhelmingly positive: **38 Buys, 8 Holds, 0 Sells** with a mean target of **~\$239** (+42%) and a median of \$240 (high \$301, low \$188 — Bernstein's Market Perform). Recent actions: Morgan Stanley assumed coverage at **Overweight, \$230** (Sep 16, calling BKNG its preferred OTA pick), TD Cowen upgraded to **Strong Buy** (Sep 14), Rosenblatt initiated at **Buy, \$245** (Sep 1); post-Q2 PT cluster: B. Riley \$274, Evercore \$270, UBS \$266. Our \$219 sits **modestly below consensus** — we are more cautious than the median analyst on the DMA/AI overhangs and prefer to underwrite the re-rating as those clear rather than before.

9 Risks, Catalysts & What to Watch

Risk / catalyst	Direction	Timing	Why it matters
Q3'26 earnings	Catalyst ↑	~Oct 27	A revenue beat vs. the soft guide resets the H2 narrative; watch room nights +3–5% and EBITDA +4–6%.
DMA enforcement outcome	Binary	H2'26–'27	Fine or clearance removes the #1 overhang; a business-model remedy (parity ban) would hit take rates.
Google AI search evolution	Risk ↓	Ongoing	Watch marketing as % of GB: sustained rises above ~4.7% signal funnel capture by Google.
Italy AGCM probe / Spain CNMC appeal	Risk ↓	Ongoing	Preferred Partner probe (opened Apr'26) + appealed ~€500 mn Spanish fine; headline risk, contained economics.
Transformation savings delivery	Catalyst ↑	Through end-'27	~\$650 mn run-rate savings = ~2 pts of margin; quarterly progress validates the expansion story.
Buyback cadence	Support	Quarterly	\$14.5 bn authorization remaining; H1'26 pace (\$7.3 bn) retires ~5–6% of shares annually.
Travel demand shocks	Risk ↓	Unpredictable	Geopolitics/macro are the historical drawdown trigger; 2020 is the stress template.

10 Recommendation

We rate Booking Holdings a **BUY** with a **\$219.00** 12-month price target, implying ~38% upside from \$159.02. BKNG is the highest-quality business in online travel — 36.9% EBITDA margins, \$9.1 bn of free cash flow at 1.7x net income, 8% room-night growth — trading at a ~15x forward P/E and ~12.5x EV/EBITDA that are both well below its own history. The market is charging full price for the DMA fine overhang and the Google AI threat while giving no credit for the structural defenses (Genius, the app, the merchant float) or the \$650 mn transformation program. Our target deliberately stays below the Street's \$239: we underwrite the re-rating as the overhangs clear, not before.

Position sizing guidance: a **Medium-High-risk BUY**. This is a core-quality compounder, not a speculation — but the DMA outcome is binary and travel is cyclical, so size it as a large-cap growth anchor rather than a concentrated bet. Consider adding on any DMA-related headline weakness (the fine, if it comes, is a one-year-FCF event, not a thesis-breaker) or on a Q3'26 beat that re-accelerates the guide. Key invalidation: a DMA remedy that breaks the

parity/merchant model, or sustained marketing-cost inflation that reverses the margin trajectory.

Analyst certification & disclosures: This report is an independent research-style analysis prepared for informational purposes only. It is not investment advice, a recommendation to buy/sell any security, or an offer to transact. Financial figures are sourced from Booking Holdings' SEC filings (10-K FY2025, 10-Qs, 2026 proxy statement), earnings releases and calls, and reputable financial press; projections and the \$219.00 price target are the author's estimates and involve uncertainty. Past performance does not predict future results. Investors should conduct their own due diligence and consult a licensed advisor.

Sources: BKNG 10-K FY2025 & 10-Qs (SEC EDGAR); Q4'25, Q1'26, Q2'26 earnings releases & call transcripts; 2026 proxy statement (PRE 14A); European Parliament DMA statement (4/30/26); Italian AGCM probe notice (4/22/26); consensus data (stockanalysis.com, Simply Wall St, Zacks, MarketBeat); Finnhub/financecharts market data. Dated October 4, 2026.